imperfections, not to erase them. "The NSO is covering up the reality of anaemic expenditure at a time when many Indians are hurting, and when foreigners are showing only a limited appetite for Indian goods." The proper approach, according to him, is to recognise both income and expenditure as imperfect macroeconomic aggregates, and then to combine them to assess the state of the economy, as is done in Australia, Germany and the UK.

India's chief economic advisor (CEA) V. Anantha Nageswaran has rejected Prof. Mody's claims, saying the government has been consistent in how it calculates growth numbers. "Some commentators remain adamant they would not let evidence interfere with prior positions," Nageswaran said in an op-ed article co-authored with senior economic advisor Rajiv Mishra, asserting that when the same statistical authority reported the severest contraction in Q1FY20, the naysayers found it credible as it "suited their narrative".

According to Nageswaran, in India, it is easier to estimate GDP based on income than expenditure. "It is easier to estimate an entity's income or gross value added by taking the difference between its output and inputs," he explains, "than to look at output-wise expenditure in the entire economy, separating expenses on final and intermediate goods and services."

HOW GDP IS COMPUTED

- India uses two ways for it. The first method is based on income generated from economic activity in eight key sectors*. It takes into account the gross profit of companies and the self-employed, employee wages and taxes on products
- The second is based on expenditure, which comprises consumer spending, net expenditure by the government, all capital spending as well as India's net exports

THE ALLEGATIONS



- **Prof. Ashoka Mody** of Princeton University has questioned the manner in which India's GDP is computed, saying the figures look 'inflated' and do not capture the full impact of headwinds such as inflation
- While income from production increased at an annual 7.8 per cent rate in April-June, expenditure rose by only 1.4 per cent. The National Statistical Office (NSO) assumes that expenditure

*The sectors are agriculture, forestry & fishing; mining & quarrying; manufacturing; electricity, transport, communication & broadcasting; financial, real estate & professional services; and



"You can't pick up something from the GDP and start arguing. The argument has to be in line with the other variables"

—D.K. JOSHI, *Chief Economist, Crisil*

GDP DEFLATOR GAPS

More fuel was added to the fire when former CEA Arvind Subramanian joined issue to say that India should look at new ways to calculate its GDP, to include production numbers, since both the income and expenditure numbers may be inaccurate. "Normally, one would just focus on the real numbers, as they show 'real' growth, stripping out the illusory effects of inflation. But this assumes that inflation is being measured properly," he wrote in a media article on September 14. "And unfortunately, we cannot make that assumption, since the GDP deflator is not hard data." A deflator is an adjustment made to current prices so that they can be compared with past data.

Subramanian argues that the real GDP numbers, corrected for inflation, tell an encouraging story. They show a collapse in the pandemic, followed by a strong recovery, which continues through the first half of FY23, a temporary dip and a surge once again. This is a narrative of a booming India, one that has recovered strongly from the pandemic and is back to about 8 per cent growth. That story loses lustre when it comes to nominal growth. Nominal figures track the real numbers until the first half of FY23, but then fall by 14 per cent over the past three quarters. "This is a narrative of an economy that has decelerated sharply to very modest levels," he adds.

Which of these then is right? Subramanian says that the Central Statistical Office (CSO) uses single deflation (deflating the nominal value added in each sector by various price indices) instead of double deflation (deflating output by output prices and inputs by input prices), which is the international standard. Ignoring double deflation matters hugely when global prices of critical inputs such as oil move sharply, as they have in recent years due to the pandemic and the Russian invasion of Ukraine.

Biswajit Dhar, a professor at the Jawaharlal Nehru University in Delhi, feels that the GDP numbers do not reflect the plight of micro enterprises that perished during Covid. There is no way one can know their real condition, he says, since the last National Sample Survey of the MSMEs (micro, small and medium enterprises) was conducted in 2015-16. "My concern is that the micro units, which form the bulk of MSMEs, have not recovered," adds Dhar. "The government is taking the pre-pandemic numbers (for data on micro enterprises) and inflating them. The first thing it should do is an honest survey.... It is long overdue."